VBL | HOLD | TP ₹225.59

HOLD

CMP - ₹ 419

TP - ₹ 225.59

Varun Beverages: Capacity and acquisition led volume growth should compound earnings at double digits through FY2030E, but it is already prices in with flawless management execution.

Market Cap - ₹1,42,416 Cr.

High/Low - ₹556 / 381

Promoter Holding – 59.4%

FII Holding – 17.5%

ROE – 15.5%

Gross Margin - 55.2%

EBITDA Margin – 23.28%

Net Income Margin – 14%

Upside:

- Contract with PepsiCo is extended to April 2049.
- Organic and Inorganic expansions in Africa.
- Almost debt-free in India with term loans due to cash acquisitions outside India
- 50 State-of-the-art production facilities across the globe.

Key risks:

- Seasonal revenue which can be affected by unseasonal rainfall or cooler summers like what happened in Q2 2025.
- Volatility in prices of raw materials like sugar and plastic.
- Foreign exchange risk due to African operations.
- Shifting of consumer preferences.



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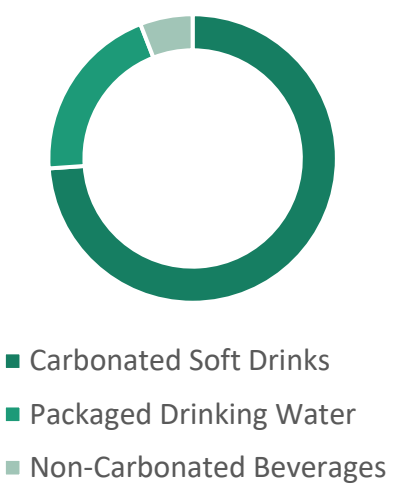
Industry: Non-alcoholic ready-to-drink (NARTD) beverage and bottling sector

About: VBL has been associated with PepsiCo since 1990s and recently extended their contract to 2049. PepsiCo brands produce and sold by the company include Pepsi, Seven-up, Mirinda Orange, Mountain Dew, Tropicana juice and many more. They have their own brands product and are venturing into dairy products an snacks.

Revenue Breakdown

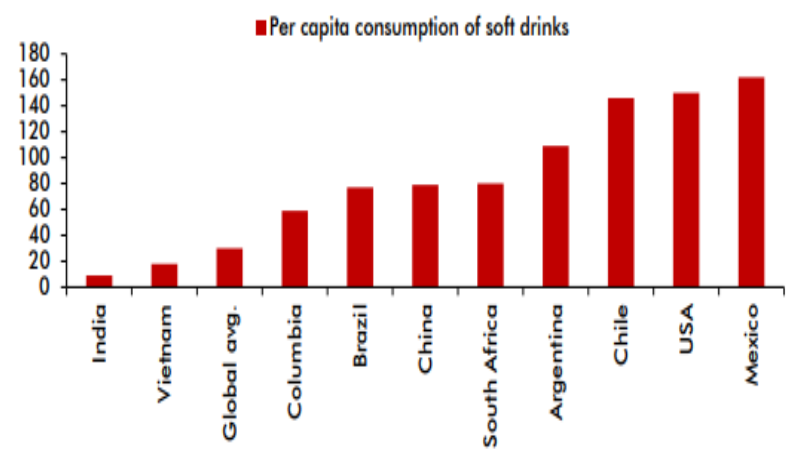


Share of Segment-wise Sales Volume



International revenue is 33% of total revenue which will be increase as the growth rate is higher for international revenue. Also the mix of low sugar / no sugar products has been increasing in the consolidated sales volume.

Exhibit 2: India's CSD per capita consumption is much lower than that of other countries



Source: Company, Ambit Capital research

Evolving youth preference and growth in disposable income in rural area is and will increase the demand for non-alcoholic beverages used for hydration, refreshment and energy drinks

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India Volume Growth Rate

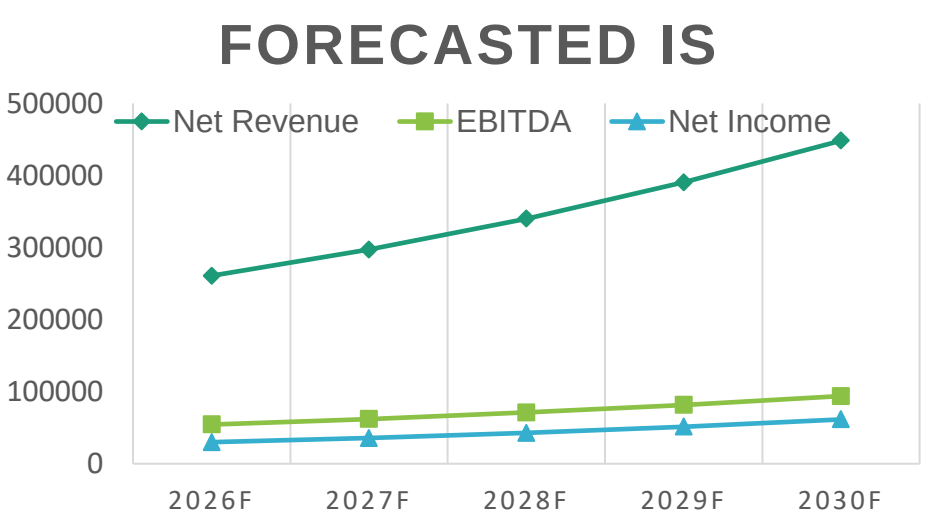
Base	11%	10%	10%	10%	10%
Best	14%	13%	13%	13%	13%
Worst	8%	8%	7%	7%	7%

Base case: In 2025Q4 concall the management mentioned double digit-growth on soft case and mid teens if the weather is good.
Best case: mid-teens growth possibility, if weather as well as the demand increases.
Worst case: Because of El-Nino the weather is favorable for the demand for the products, the rates are hardcoded to check sensitivity to valuation.

International Volume Growth Rate

Base	30%	15%	15%	15%	15%
Best	35%	20%	20%	20%	20%
Worst	25%	10%	10%	10%	10%

Base case: Mid-teens growth with 2026 growth includes the inorganic growth of Twizza acquisition.
Best Case: Better integration of acquisitions for distribution channels and higher growth rates.
Worst case: Just for sensitivity analysis of the growth in international market.



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Activity Ratios

	2025A	2026E	2027E	2028E	2029E	2030E
DOS	18	19	20	20	20	20
DOH	108	99	103	103	103	103
DPO	56	47	49	49	49	49
COC	70	71	74	74	74	74

Condensed common-size income statement (% of net revenue)

	FY25A	FY26E	FY27E	FY28E	FY29E	FY29E
Net revenue	100.0	100.0	100.0	100.0	100.0	100.0
Cost of goods sold[1]	(44.8)	(46.7)	(46.7)	(46.7)	(46.7)	(46.7)
Gross profit	55.2	53.3	53.3	53.3	53.3	53.3
Employee expense	(10.1)	(9.8)	(9.8)	(9.8)	(9.8)	(9.8)
Other expenses	(21.8)	(22.6)	(22.6)	(22.6)	(22.6)	(22.6)
EBITDA	**23.3**	**20.9**	**20.9**	**20.9**	**20.9**	**20.9**
Depreciation and amortisation	(5.6)	(5.6)	(5.4)	(5.0)	(4.6)	(4.3)
EBIT	17.7	15.3	15.6	16.0	16.3	16.7
Other income	1.6	0.3	0.3	0.7	1.0	1.4
Finance costs	(0.8)	(0.6)	(0.3)	(0.2)	(0.1)	(0.1)
Profit before tax[2]	18.5	15.0	15.6	16.4	17.2	17.9
Tax	(4.4)	(3.5)	(3.7)	(3.8)	(4.0)	(4.2)
PAT (attributable to shareholders)	**14.0**	**11.5**	**12.0**	**12.6**	**13.2**	**13.7**

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Risk free rate	**5.30%**
Equity risk premium	**7.45%**
Levered Beta	**0.5985**
Required Rate of Return	**9.76%**

Risk free rate: 10yr Indian government bond yield minus the default spread on India given by Moody.
Equity risk premium: 65% India + 35% South Africa implied risk premium sourced from Aswath Damodaran's website.
Levered Beta: Average beta of non-alcoholic beverage companies from US market adjusted for debt/equity ratio of VBL.

	FY26E	FY27E	FY28E	FY29E	FY30E
FCFE (in millions ₹)	15243.85	25883.53	31125.41	36882.30	43922.55

Terminal Growth = Risk free rate : I have used this rate as a firm cannot grow faster than the economy it operates in perpetually.

Reasons for higher growth:

- Improving profit margin because of added organic and inorganic operating leverage in both India and International
- 10Rs pack introducing semi-urban and rural population to companies product line adding to total demand.
- Acquiring customer by giving offers like the recent 250ml +150ml free for 20Rs.
- Increasing gross margin as the mix of low/no sugar products rise in the mix of total revenue.

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Risk

- Sugar price and Pet cost rising due to ongoing conflict in the Strait of Hormuz
- Weather can affect the demand as seen in 2025 but there is no such risk in 2026 due to EL Nino
- Regulation like increase in tax on sin goods by government can squeeze profit margins.
- Contract with PepsiCo is extended to 2049 so the dependence risk is reduced.
- Exposure to foreign exchange risk due increase in mix of international revenue.

Catalyst Event

Revised PepsiCo agreement and its impact on margins	Signed in May2026	Critical
Q3 FY2026 Earnings report for post monsoon volume growth	Late Oct to Early Nov	High
Integration of Inorganic expansion in Africa and their impact on margins	H2 26 – H1 27	High
Full CY 2026 Audited Annual report	February 2027	High